Zoom Product Metrics Analysis

Detailed Portfolio Report • AARRR Framework

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Scope note: This is a conceptual product analytics case study. The examples and numbers are illustrative; no proprietary or observed Zoom performance data was used.

1. Executive summary

This report proposes a measurement framework for understanding a video-conferencing product across the user lifecycle. The AARRR framework organizes metrics into Acquisition, Activation, Retention, Revenue and Referral. The goal is to clarify what should be measured, how metrics can be calculated, what changes may indicate, and what additional data is needed.

2. Business question and objectives

Business question: How can a product team monitor user acquisition, first value, ongoing engagement, monetisation and advocacy using a consistent set of metrics?

• Identify candidate metrics for each AARRR stage.

• Define formulas and denominators clearly.

• Use hypothetical examples to demonstrate calculations.

• Describe possible interpretations without claiming causality.

• Recommend the data and analysis needed for a real evaluation.

This is a framework proposal, not a measurement of Zoom's actual internal performance.

3. The AARRR framework

Acquisition

How people discover and sign up for the product.

Activation

Whether new users reach a defined first-value event.

Retention

Whether users return and continue receiving value.

Revenue

Whether usage supports paid conversion and recurring revenue.

Referral

Whether users recommend or invite others.

4. Metrics, formulas and interpretation

Acquisition

Website-to-sign-up rate
Formula / definition: Sign-ups ÷ unique website visitors × 100
Interpretation: A low rate can reflect mismatch between traffic and product, landing-page friction, or attribution issues. Segment by channel and campaign.

Customer acquisition cost (CAC)
Formula / definition: Acquisition spend ÷ new customers acquired
Interpretation: A rising CAC may indicate higher media costs or lower conversion efficiency. Define which costs and which customer type are included.

Cost per install (CPI)
Formula / definition: Campaign spend ÷ app installs

Interpretation: Useful for app campaigns, but an install does not necessarily mean the user signs up or becomes active.

Activation

Activation rate
Formula / definition: New users completing a defined activation event ÷ eligible new users × 100
Interpretation: Define the event and time window. For a conferencing product, one possible event is joining or hosting a first meeting within seven days.

Setup completion rate
Formula / definition: Users completing setup ÷ users who started setup × 100
Interpretation: A fall can indicate onboarding friction. Break the funnel into steps to locate the largest drop-off.

Time to first value
Formula / definition: Timestamp of first key action – sign-up timestamp
Interpretation: A shorter time may indicate a smoother path to value. Compare similar cohorts and avoid assuming causality.

Retention

DAU / MAU
Formula / definition: DAU = unique active users per day; MAU = unique active users per month
Interpretation: Use a consistent active-user definition. DAU/MAU can describe frequency but must be interpreted in product context.

Cohort retention
Formula / definition: Users from a cohort active in a later period ÷ original cohort size × 100
Interpretation: Cohort analysis compares users who started in the same period. Specify whether activity means joining, hosting, or another key action.

Customer churn rate
Formula / definition: Customers lost during period ÷ customers at start of period × 100
Interpretation: Define the customer unit, period and treatment of reactivations, pauses and plan changes. Rising churn merits investigation, not an automatic conclusion.

Revenue

Free-to-paid conversion
Formula / definition: Eligible free users becoming paid in period ÷ eligible free users × 100
Interpretation: State the eligible population, observation window and whether conversions are user- or account-level.

Monthly recurring revenue (MRR)
Formula / definition: Sum of normalised monthly recurring subscription revenue
Interpretation: Track new, expansion, contraction and churned MRR separately. Exclude one-time revenue if the definition is recurring subscription revenue.

Average revenue per user (ARPU)
Formula / definition: Revenue in period ÷ average users in period
Interpretation: State whether the denominator is users, accounts or paying customers, and segment by plan.

Customer lifetime value (LTV)
Formula / definition: Estimated value generated over a customer relationship
Interpretation: A simplified subscription approximation is ARPU × gross margin ÷ customer churn rate when time periods and assumptions align. It is an estimate and can be unstable when churn is low or the business is changing.

Referral

Referral participation rate
Formula / definition: Users sending at least one invite ÷ eligible active users × 100
Interpretation: Measures sharing participation, not the quality or eventual value of invited users.

Referral conversion rate
Formula / definition: Referred sign-ups ÷ referral visits or invites delivered × 100
Interpretation: Choose a denominator and attribution window and document it consistently.

Net Promoter Score (NPS)
Formula / definition: % Promoters (ratings 9–10) – % Detractors (ratings 0–6)
Interpretation: NPS is a survey-based recommendation signal, not a direct count of referrals.

Viral coefficient (simplified)
Formula / definition: Average invites sent per user × conversion rate of those invites
Interpretation: A value above 1 can imply self-sustaining growth under simplifying assumptions, but time delays, overlap and real-world behaviour matter.

5. Worked examples (illustrative only)

CAC: If acquisition spend is $2,000 and 100 new paying customers are acquired, CAC = $2,000 ÷ 100 = $20 per customer.

Activation rate: If 600 of 1,000 new users join or host a first meeting within seven days, activation rate = 600 ÷ 1,000 × 100 = 60%.

Customer churn: If 1,000 customers are present at the start of a month and 200 are lost by month-end, churn = 200 ÷ 1,000 × 100 = 20%, assuming no other definitional complications.

These examples are hypothetical arithmetic demonstrations, not Zoom results.

6. Example scorecard and visualisation recommendations

A practical scorecard could show, for each AARRR stage: current value, target, change versus prior period, trend, data freshness, owner and segment breakdown. Use a line chart for trends, a funnel for acquisition-to-activation steps, cohort heatmaps for retention, and stacked movement views for MRR components.

Any dashboard mock-up should label sample values as illustrative. Do not present them as actual company performance.

7. How to interpret changes

CAC increases: Acquisition efficiency may be weakening. **Investigate:** Review channel mix, campaign targeting, attribution and downstream activation.

Activation falls: Fewer new users reach first value. **Investigate:** Inspect onboarding funnel steps and time-to-first-meeting.

Retention falls: Repeat value may be weakening. **Investigate:** Review cohorts, seasonality, product changes and customer mix.

Free-to-paid conversion falls: Fewer eligible free users upgrade. **Investigate:** Review plan fit, upgrade flow, pricing changes and user/account denominator.

Referrals rise while retention is weak: Invites may not translate into lasting value. **Investigate:** Compare referred-user activation and cohort retention.

A metric is a signal, not a diagnosis. Segment the data and test explanations before recommending a product change.

8. Data required for a real analysis

• Product events: pseudonymous user/account ID, event name, timestamp, meeting created/joined, onboarding steps.

• Acquisition attribution: source/channel, campaign, spend, visits, installs, sign-ups and attribution window.

• Billing: plan, subscription start/end, recurring revenue, upgrades, downgrades, cancellations and refunds as appropriate.

• Survey data: question wording, response date, sample and NPS category.

• Governance: documented definitions, time zones, deduplication, identity resolution, privacy controls and access permissions.

9. Recommended next steps

• Agree on one precise definition and owner for each metric.

• Instrument and validate the required events and billing fields.

• Establish a baseline before setting targets.

• Build the AARRR scorecard with trends and segments.

• Investigate funnel drop-offs and retention cohorts.

• Use controlled experiments where feasible to assess whether a change caused an improvement.

10. Limitations

• No raw Zoom dataset was provided or analysed.

• No observed values, benchmarks, forecasts or causal conclusions are claimed.

• Metric definitions may need adjustment to the product’s business model and user/account structure.

• LTV and viral coefficient are assumption-sensitive estimates.

• A dashboard can communicate results only if its inputs, definitions and data quality are reliable.

11. Conclusion

AARRR provides a structured way to connect acquisition, activation, retention, revenue and referral. The strongest product analytics practice defines metrics consistently, uses segments and cohorts to find patterns, and treats metric changes as prompts for investigation rather than proof of a cause.